

NextEra Energy, Inc.

NEE NYSE

Buy	\$85.53 ▲ 2.24%	12M Price Target \$98.00	52-Week Range \$67.20 – \$98.75	Market Cap \$178.39B
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NEE: Reiterate Buy; Utility Weakness Creates Entry Opportunity

WHAT'S CHANGED

- NEE rebounded +2.24% to \$85.53 alongside Utilities sector +1.82% bounce, recovering part of June 1 -3.85% drop (\$87.01→\$83.66) on heavy 25.3M volume May 29 sell-off
- Options flow decisively bullish: P/C 0.50, with \$86 June calls trading 9.3x open interest signaling near-term upside positioning

IMPLICATIONS

The Utilities sector's -3.19% 5-day drawdown reflects the "bond proxy" rate-sensitivity narrative flagged in 24/7 Wall St. coverage, but NEE's growth profile differentiates it from pure regulated peers given its NextEra Energy Resources renewables platform—a key beneficiary of accelerating AI/data center power demand. The Simply Wall St. valuation piece and Motley Fool's bullish framing suggest sentiment is bifurcating: rate-bears versus secular-power-demand bulls, with the latter thesis strengthening as hyperscaler capex commitments compound. Today's bounce on lighter 8M volume indicates stabilization rather than capitulation, with institutional ownership at 86.9% providing a floor.

VALUATION

At \$85.53, NEE trades ~23.4x FY26E EPS and ~14.8x EV/EBITDA, a modest premium to regulated utility peers (~18-20x) justified by the renewables growth engine targeting 6-8% EPS CAGR through 2027. Our \$98 PT implies ~15% upside, derived from 24x FY27E EPS of \$4.00 plus dividend, with multiple expansion driven by data center PPA announcements. Downside risk to \$75-78 if 10-yr yields breach 5% sustainably and rate-proxy selling intensifies.

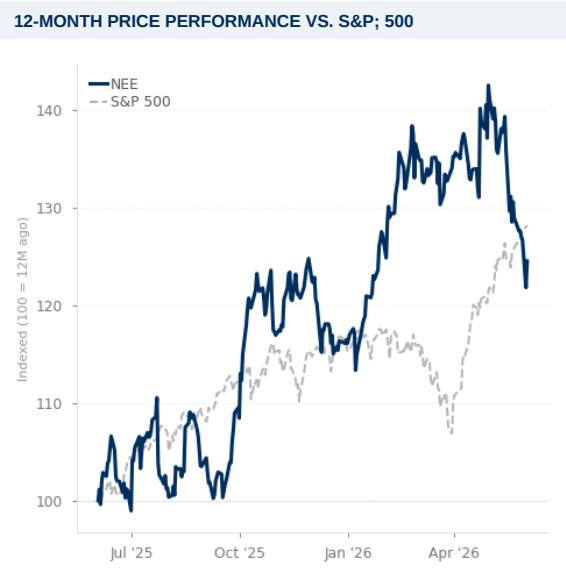
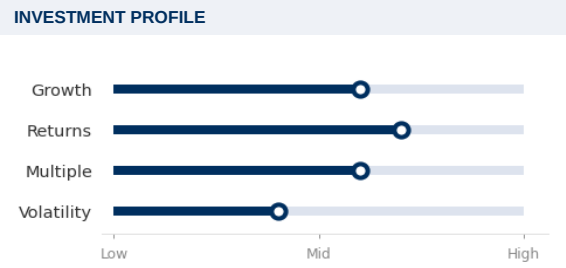
KEY RISKS

- Rising long-end Treasury yields pressuring utility multiples and increasing financing costs on NEE's \$80B+ capex plan
- Federal IRA/ITC renewables tax credit modifications under regulatory review could compress project IRRs
- Florida regulatory environment risk at FPL on next rate case; storm season concentration risk

RECENT NEWS

- Assessing NextEra Energy (NEE) Valuation After Recent Share Price Weakness And Mixed Return... Simply Wall St. · 2026-06-02 19:12
- Beyond the AI Boom: 3 Forgotten Sectors to Buy Amid Historic Market Disconnect Barrons.com · 2026-06-02 13:13
- NextEra Energy (NEE) Stock Declines While Market Improves: Some Information for Investors Zacks · 2026-06-01 21:45

Key Data	
Price (USD)	\$85.53
12M Price Target	\$98.00
Upside / (Downside)	+14.6%
Market Cap	\$178.39B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.65
FY2027E EPS	\$4.00
Fwd P/E	23.4x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$92.00	\$87.00	\$80.00
6 Months	\$98.00	\$91.00	\$78.00
1 Year	\$108.00	\$98.00	\$75.00
2 Years	\$125.00	\$110.00	\$72.00
5 Years	\$165.00	\$140.00	\$80.00
10 Years	\$240.00	\$190.00	\$95.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.76% 5D), Materials (+1.15% 5D)

COLD SECTORS: Utilities (-3.19% 5D), Real Estate (-2.85% 5D)

ROTATION WATCH: Rate-sensitive sectors (Utilities, REITs) underperforming amid duration concerns; any softening in macro data could trigger sharp mean-reversion into Utilities given oversold conditions.

BYPRODUCT PLAY: AI power demand creates secondary opportunities in grid infrastructure (GEV, ETN), nuclear restarts (CEG, VST), and transmission equipment—NEE captures both renewables generation AND grid connectivity tailwinds.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Nuclear-AI thematic leader, materially outperforming XLU YTD on hyperscaler PPA wins
- VST (Vistra Corp): Independent power producer benefiting from same data center demand thesis with higher beta

NEE CONTEXT: NEE is lagging pure-play AI-power names (CEG/VST) which have captured the narrative premium, but offers superior risk-adjusted exposure given FPL regulated cash flow backstop and dividend. Relative underperformance vs IPP peers represents the opportunity—NEE has not yet been re-rated for its renewables+data center optionality.

INVESTMENT STRATEGY

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$83-86 on continued sector weakness

Time Horizon: 12-24 months

Thesis Invalidation: Renewables backlog deceleration or FPL rate case adverse ruling

Hedging: Pair long NEE vs short XLU or rate-sensitive utility peer